it had resolved Rs 55,000 crore of its total outstanding debt, with Rs 21,000 crore already out of its books. With this, Kotak and his team met 90 per cent of the target they had set: a realistic Rs 61,000 crore of the outstanding debt.

It wasn't easy, as the team worked through the complex maze of the IL&FS group's companies and transactions, holding two full-day board meetings every month, most of them virtual, for the past two years to resolve the crisis. "We were in the middle of a potential systemic crisis in the Indian financial system," says Kotak. The board discovered that the group had 347 subsidiaries, almost twice the 169 companies the Ministry of Corporate Affairs had initially estimated, going down, in some cases, to five layers of subsidiaries. Some of these had to be kept as 'going concerns' (making enough money to stay afloat in the foreseeable future), since they were "national assets and needed to be protected". The other challenge was to resolve the debt of an NBFC outside the Insolvency & Bankruptcy Code (IBC) because financial services were not included in the mechanism at the time. They were, thus, navigating "uncharted waters", as Kotak put it. "We have seen many conglomerates going through a messy IBC process. Their actual recovery was in single-digit percentage of total debt," he says. The challenge was how to get fair recovery of the money and ensure its fair distribution.

UNLOCKING VALUE

"In just four years from 2014-18, the group's debt rose from Rs 48,000 crore to Rs 91,000 crore," reveals CMD Rajan, a former IAS officer who retired as Rajasthan chief secretary in 2018. "A large number of units were suffering from time and cost overruns over delays in land acquisition or forest and environmental clearances and project finance." The group also had investments in several unviable projects and often sacrificed profits for growth. As the new management began to seek out buyers for IL&FS's assets, they found that the actual market value of these assets was lower than the management's initial assessment. Other challenges included delays in approval by joint venture partners, government stakeholders hampering the progress of sale transactions, certain state governments withholding legitimate annuities, non-payment of receivables, complicated and time-consuming judicial procedures, and complex intra-group lending that led to interlinkages and delay in resolution.

₹99,355
CRORE
Total debt of IL&FS when the new management under Uday Kotak took over in October 2018

₹61,000
CRORE
Estimated debt that the management hoped to resolve

₹55,000
CRORE
Debt IL&FS has resolved as on March 31, 2022

"IL&FS had a big mismatch in assets and liabilities and enormous liquidity problems. Uday Kotak very quickly assessed the situation, and classified the companies under three codes—red, green and amber," says former finance secretary S.C. Garg, who was part of the government team that reconstituted the board and brought in Kotak. Companies with more assets than liabilities were coded green; amber denoted firms that would fetch enough to pay off the secured lenders (ones backed by collaterals) and some to unsecured lenders. The other extreme were the red companies, which could not yield enough to pay even the secured lenders. "It was then decided that green and amber should be sold off. Selling the companies was the preferred mode of resolution," Garg says.

"This classification helped achieve a clear understanding on expectations from asset sales," says Ashvin Parekh, a banking consultant. "From a situation where few believed any money would be recovered, Uday Kotak and team managed to recover a significant Rs 55,000 crore." IL&FS management claims the recovery, at around 56 per cent, is way above the 31 per cent lenders recover on an average through IBC.

ROAD TO RECOVERY

Just as HDFC chairman Deepak Parekh had played a critical role in getting together all stakeholders of Satyam Computer to resolve the crisis at the IT firm that was subsequently sold off to the Mahindra Group, Kotak, a go-to person for the government for banking affairs, played catalyst in bringing all options to redeem IL&FS to the table. Hectic parleys with several corporates, lenders and the government helped the team resolve Rs 16,400 crore of IL&FS's debt through monetising of assets. These included the sale of its wind power assets, its Chinese road assets, its technology group firms, the stake in ONGC Tripura, even its towering headquarters in Mumbai's Bandra Kurla Complex. In addition, the company has accrued cash and invIT (infrastructure investment trust, a pooled investment vehicle like a mutual fund) units worth Rs 20,000 crore. Another Rs 4,600 crore of debt was discharged via repayments and release of NFB (non-fund based) limits such as letters of credit. Resolutions are in progress for yet another Rs 14,000 crore. IL&FS has filed an application with the National Company Law Appellate Tribunal for allowing it to undertake interim distribution of Rs 20,000 crore of cash, of which Rs 16,000 crore is available for distribution to creditors. Most of this money will be distributed to three large